

Interview Feedback

Brew & Bean Profitability · 2026-10-06 · Overall: adequate

Top improvement

Keep every cost figure on the same basis (percent of revenue at constant volume), and when a number can be read two ways, test each reading against a known total. Here, $10.5 \times 1.40 + 31.5 \times 1.375 = 58$ exactly matches today's COGS share. That shows beans add only ~4.2 of the 16 points and other inputs ~11.8, which would have avoided the phantom above-market bean premium and pointed procurement at the whole input basket.

Rubric Scores

Problem Structuring

adequate

What went well

You restated the objective cleanly and scoped growth sources before building the framework.

“The goal is to find the root cause and reverse it.”

You anchored on profit = revenue – costs and stated a hypothesis on where the answer lives before seeing cost data.

“Profit = revenue minus costs, and we know revenue is up 15% with flat prices, so the problem is almost certainly on the cost side — costs must be growing much faster than 15%.”

You prioritized branches with a reason.

“I'd prioritize COGS and store labor first.”

What needs work

The initial cost tree was incomplete for a net-margin question; the below-the-line branch appeared only after the interviewer asked what was missing.

“The gap is that I jumped to operating costs, but we're told *net* profit margin.”

The structure diagnosed costs but never tied back to the decision of reversing the decline. There was no branch for pricing power or pass-through, even though flat prices emerged in scoping.

“so the problem is almost certainly on the cost side”

Missed opportunities

Turn 7, laying out the structure after learning menu prices were flat for two years.

A great answer: “I'll split this into three areas tied to the CEO's decision: (1) cost drivers: COGS by input, labor, overhead, below-the-line; (2) pass-through: why prices stayed flat and how much pricing power we have versus peers; (3) volume and mix. I'd start with COGS because it's the largest line and flat prices mean any input inflation hits margin directly.”

Quantitative & Analytical Rigor

adequate

What went well

You built an index-to-100 frame and sanity-checked that costs must have grown far faster than revenue.

“That's a 42% cost increase against 15% revenue growth.”

You decomposed the 18-point decline exactly and quantified COGS's share.

“So COGS explains about 89% of it and overhead the rest.”

The breakeven volume-loss calculation was set up first, computed correctly (H17.7%), and paired with caveats and the business implication.

“Set that equal to 48: $1x = 48/58.4 = 0.823$, so $x \approx 17.7\%$.”

“So they can lose roughly 17-18% of transactions before the price increase stops paying off.”

What needs work

The bean residual was arithmetically fine but used the wrong quantity. You compared old COGS on a 100-revenue base with today's COGS dollars on a 115 base, and treated the 37.5% as total spend. That pushed all volume growth in other inputs into beans and produced a phantom ~96% per-unit bean rise. If both 40% and 37.5% are per-unit price changes, $10.5 \times 1.40 + 31.5 \times 1.375 = 14.7 + 43.3 = 58$, exactly today's COGS share. So beans add ~4.2 points and other inputs ~11.8.

“Total COGS today is about 67, so beans today ~~16~~ 43.3 ~~12~~ 3.7 — up from 10.5, roughly 126%.”

“Beans are the story.”

You asserted the 8–10% price increase without deriving it from the gap. You also overstated its effect: 9% on 115 adds ~10.3 of profit, taking margin to ~13.8%, about 7.8 points rather than 10. Fully restoring 24% would need roughly a 24% price increase ($108.1 / 0.76 \approx 142$).

“raise menu prices first, roughly 8-10%, phased over two quarters.”

“On revenue of 115, a 9% increase with no volume loss adds about 10 points of margin”

Missed opportunities

Turn 13/17, when unsure whether the 37.5% was total spend or per unit.

A great answer: “Let me test the per-unit reading against what I know. In percent-of-revenue terms, with prices flat: beans $10.5 \times 1.40 = 14.7$, other inputs $31.5 \times 1.375 = 43.3$, total 58. That matches today's COGS exactly. So both figures are per-unit price changes: beans explain ~4.2 of the 16 points and other inputs ~11.8, and there's no evidence of an above-market bean premium.”

Data & Exhibit Interpretation

adequate

What went well

You oriented to the exhibit's units before interpreting.

“Each row sums to 100, so these are percent of revenue, and profit is the residual — 24, 15, 6.”

You proposed a concrete next data check.

“Was the 40% bean increase steady year over year, or front- or back-loaded?”

What needs work

The candidate correctly isolated COGS as the driver and used the trend's shape to test the hypothesis, but within COGS attributed the rise to beans: beans were only 10.5 points of revenue, so a 40% rise adds ~4.2 of the 16 points, while other inputs up 37.5% add ~11.8 and are the largest driver.

“So I'd soften to: beans are the largest driver, but the client-specific premium is less certain than I claimed.”

“COGS rises 8 points a year, perfectly linear, 42 '50 '58.”

“A smooth, even ramp looks more like commodity drift plus no price pass-through”

Missed opportunities

Turn 21, reading the cost-structure exhibit and asked whether it supports the bean hypothesis.

A great answer: “It undercuts it. Beans were 10.5 points of revenue, so +40% adds about 4.2 points. That leaves ~11.8 of the 16-point COGS rise to dairy, packaging and food, which are up 37.5%. Beans are only about a quarter of the problem; the broad input basket plus zero price pass-through is the real story.”

Business Judgment & Insight

adequate

What went well

The recommendation was practical: phased pricing with a pilot, with the key risk mitigated through a measurable test.

“Mitigate by piloting in 20 stores across a few markets, measuring transaction counts, and leading with size and add-on pricing rather than a blanket increase.”

What needs work

The candidate at times recognized the limits of their own inference and downgraded a claim to a hypothesis, but also over-concluded from a fragile residual that the client pays far above market for beans, which is commercially implausible.

“That's the real exposure: they're paying well above market, and they haven't passed any of it through, since prices have been flat for two years.”

“So I'd hold “beans are above market” as a hypothesis, not a finding.”

The structural fix was scoped to beans only, following from the misdiagnosis, while most of the COGS increase sits in other inputs.

“Run procurement in parallel as the structural fix: consolidate and lock forward bean contracts, and audit grams per cup for waste.”

Missed opportunities

Turn 29, defining the parallel procurement workstream.

A great answer: “Procurement should cover the whole basket, not just beans. Dairy, packaging and food drive roughly three-quarters of the COGS increase, so I'd renegotiate those contracts alongside forward bean contracts.”

Creativity & Brainstorming

adequate

What went well

You produced a broad set of ideas, including non-obvious ones such as mix-shifting toward low-bean-cost drinks and using channels to lift throughput on fixed labor.

"Push high-margin items: larger sizes, espresso-based drinks where the bean cost per dollar is lowest, and non-coffee items like tea, which has no bean exposure."

"Revenue side: packaged beans at retail, wholesale to offices, catering, drive-thru or mobile ordering to lift throughput on the fixed labor base."

What needs work

The candidate organized the brainstorm into clear buckets, but never ranked the ideas by impact or feasibility, so it ended without a prioritized view.

"And close underperformers if any stores are below contribution."

"Beyond pricing, a few buckets."

Missed opportunities

End of the turn 25 brainstorm.

A great answer: "If I rank these by impact and speed: pricing and add-on charges first because they address the full COGS gap fastest; input-basket procurement second as the structural fix; waste and mix third; new channels last because they take longest to scale."

Synthesis & Recommendation

strong

What went well

You led with a committed recommendation.

"Recommendation: raise menu prices first, roughly 8-10%, phased over two quarters."

You named the key risk with a mitigation and gave concrete next steps.

"Biggest risk is exactly what I just asked about — elasticity."

"Next steps: the pilot, a competitor price benchmark, and a bean spend diagnostic."

The candidate's root-cause summary was crisp and calibrated on confidence, but the supporting reasoning leaned on bean inflation rather than the full 16-point COGS rise. It also called pricing 'sized to the problem' when a 9% increase recovers only ~8 of the 18 points lost.

"Confidence: high on the mechanism — the exhibit is unambiguous that COGS is essentially the whole 18-point decline and labor is irrelevant."

"Two years of flat prices against 40% bean inflation means they've absorbed the entire increase."

"It's the fastest lever and the only one sized to the problem."

Missed opportunities

Turn 29, giving the reasons behind the price recommendation.

A great answer: "COGS rose 16 points of revenue across beans and the wider input basket, with zero pass-through. A 9% increase recovers roughly 8 points, and broad-basket procurement closes more of the remaining gap."

Communication & Delivery

strong

What went well

The candidate's delivery was consistently signposted, with answer-first labels on key outputs, but some math turns ran long and built bottom-up, burying the conclusion at the end of dense calculation chains.

"Here's my structure."

"Root cause: COGS has risen 16 points of revenue — driven mainly by coffee bean and other input inflation — and Brew & Bean has absorbed all of it by holding menu prices flat for two years, so there's been zero pass-through."

"Let me work the dollars. Two years ago COGS was 42, beans 25% of that is 10.5, other inputs 31.5."

You used hypothesis-driven phrasing and explained why each data request mattered.

"Sixteen points is a lot, and I want to know whether it's one input spiking or everything drifting up together, because that changes the answer completely."

Pushback, Composure & Case Leadership

strong

What went well

You acknowledged the MECE challenge specifically and updated with a reasoned addition and prioritization.

*"Fair challenge. The gap is that I jumped to operating costs, but we're told *net* profit margin."*

Under challenge, you named your own weak assumptions and updated confidence with explicit reasoning, neither capitulating nor defending rigidly.

"The 37.5% on other inputs I treated as total spend, but it may well be a per-unit price figure — if so, my residual is wrong."

"So I'd soften to: beans are the largest driver, but the client-specific premium is less certain than I claimed."

The candidate drove the case with targeted data requests and proposed checks, but when probed on whether the figures were on the same footing, named the ambiguity and waited for data instead of testing the alternative reading directly, a test that would have resolved it.

"Do we have bean cost per unit sold, or pounds purchased per transaction, over the two years? That would separate a procurement problem from a waste problem."

"Can you tell me whether the 37.5% is total spend or per unit?"

Missed opportunities

Turn 18, after the interviewer declined to clarify the 37.5% figure and asked whether the evidence supports the bean claim.

A great answer: "Then let me test both readings. If 37.5% is per unit, beans plus other inputs in percent-of-revenue terms give $14.7 + 43.3 = 58$, an exact match to today's COGS share. So the per-unit reading is right, and I retract the above-market bean claim."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:09

Okay, so just to play it back: Brew & Bean has 200 US locations, revenue is up 15% over two years, but net margin fell from 24% to 6% — so profit dollars are down a lot despite growth. The goal is to find the root cause and reverse it.

Before I build a structure, I want to scope it a bit. First question: has the store count changed over those two years? I'm trying to understand whether the 15% revenue growth came from opening new locations or from existing stores selling more — because new-store openings would carry buildout and ramp-up costs that could crush margin on their own.

Interviewer · 0:11

Okay, a growth-source question. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Anything else you want to scope before you lay out your structure?

Candidate · 0:15

Good, so that's all same-store growth — the cost problem is inside the existing base, not an expansion story.

Second question: is the 15% revenue growth coming from price or from volume? Specifically, have they raised menu prices over the two years, and roughly what's happened to transaction counts per store? If prices went up and traffic is flat or down, that's a very different story than more customers coming through the door.

Interviewer · 0:17

Okay, price versus volume. Menu prices have not changed in two years. I don't have transaction counts per store. Anything else you want to scope, or are you ready to walk me through your structure?

Candidate · 0:20

Got it — flat prices, so the 15% is volume or mix. I'll assume traffic and/or ticket size rose.

One more: is the margin decline broad-based across all 200 locations, or concentrated in a subset — say a region or a store format? If it's uniform, I'd look at a system-wide cost driver like coffee bean prices or wages; if it's concentrated, it's more likely a local issue like rent or a few underperforming stores.

Interviewer · 0:22

Okay, a breadth question. I don't have margin decline by region or store format. You've done good scoping. Take a minute if you need it, and walk me through how you'd structure this problem.

Candidate · 0:42

I'll assume it's broad-based since we don't have evidence otherwise.

Here's my structure. Profit = revenue minus costs, and we know revenue is up 15% with flat prices, so the problem is almost certainly on the cost side — costs must be growing much faster than 15%. Quick sanity check: if revenue was 100 and margin 24%, profit was 24 and costs 76. Now revenue is 115 at 6%, so profit is about 6.9 and costs are roughly 108. That's a 42% cost increase against 15% revenue growth. So something is badly outpacing volume.

I'd split costs into COGS — coffee beans, milk, cups, food — and operating costs: store labor, rent and occupancy, utilities, marketing, and corporate overhead. Within each I'd ask whether it's a price-per-unit increase or a volume/efficiency problem.

Do we have a breakdown of costs as a percent of revenue, then versus now?

Interviewer · 0:44

Okay, a revenue-and-cost split. I'll come back to the cost breakdown as a percent of revenue, then versus now shortly. Before we pull data, one challenge on your structure: is it MECE, and what's missing? Also, which branch would you prioritize first, and why?

Candidate · 0:50

Fair challenge. The gap is that I jumped to operating costs, but we're told *net* profit margin. So below the operating line I'm missing interest expense — if they took on debt — depreciation and amortization from store remodels, taxes, and any one-time or impairment charges. That should be a separate branch.

The other thing I'd flag is revenue mix. With prices flat and revenue up 15%, the mix between high-margin drinks and lower-margin food or merchandise could have shifted, and that would show up as COGS rising faster than revenue. So it sits inside COGS but it's a distinct driver from input prices.

On MECE: revenue versus costs is clean; within costs, COGS / operating / below-the-line is clean as long as I don't double-count.

I'd prioritize COGS and store labor first. They're the two largest lines in a coffee chain, they scale with volume, and both have had real input inflation — beans and wages.

Interviewer · 0:53

Okay. On what you asked about earlier: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Take a look at those figures. Where does the margin go, and what would you dig into next?

Candidate · 0:58

Let me add it up. COGS up 16 points, overhead up 2, labor flat — that's 18 points of margin, and the decline was 24% to 6%, exactly 18 points. So COGS explains about 89% of it and overhead the rest. Labor is a non-issue.

In dollar terms, on revenue of 115, COGS at 58% is about 67 versus 42% of 100, or 42 before — roughly a 60% increase in COGS dollars against 15% revenue growth. That's enormous.

Before I dig in, I want to scope the COGS line. Do we have a split of COGS into its components — coffee beans, dairy, food, packaging? Sixteen points is a lot, and I want to know whether it's one input spiking or everything drifting up together, because that changes the answer completely.

Interviewer · 1:00

Okay, a COGS component split. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Given those figures, what do they tell you about where the COGS increase is coming from, and what would you check next to confirm it?

Candidate · 1:08

Let me work the dollars. Two years ago COGS was 42, beans 25% of that is 10.5, other inputs 31.5. Other inputs up 37.5% gives 31.5×1.375 H 43.3. Total COGS today is about 67, so beans today H 67 - 43.3 H 23.7 — up from 10.5, roughly 126%.

So beans more than doubled while other inputs rose 37.5%. And note volume is up 15%, so some of that 37.5% is just selling more — the real per-unit inflation on other inputs is maybe $1.375/1.15$ H 20%. For beans it's $2.26/1.15$ H 96% per unit. Beans are the story.

Next I'd check whether that's market price or something client-specific: has the green coffee commodity price roughly doubled, or did Brew & Bean come off a fixed-price supply contract, lose a supplier, or shift to a pricier single-origin sourcing standard?

Interviewer · 1:11

Okay, a market-versus-client-specific question. Raw coffee bean costs are up 40% over the past two years. With that in hand, and given the revenue is roughly 115 on a base of 100, how do you reconcile it with your per-unit bean figure, and what does that tell you the client's real exposure is?

Candidate · 1:21

Let me reconcile. Market beans are up 40%, but our per-unit bean cost is up ~96%. Ratio is $1.96 / 1.40$ H 1.40 — so even after stripping out volume growth and commodity inflation, there's another ~40% of per-unit bean cost the market doesn't explain.

So the market is maybe half the problem and client-specific factors are the other half. That's the real exposure: they're paying well above market, and they haven't passed any of it through, since prices have been flat for two years.

Candidates for that 40%: they rolled off a fixed-price or hedged supply contract into spot pricing; they lost scale leverage or switched to a smaller/premium supplier; they tightened sourcing standards to single-origin or certified beans; or there's waste and spoilage — over-pouring, stale brewed coffee dumped — which would show as grams per cup creeping up.

Do we have bean cost per unit sold, or pounds purchased per transaction, over the two years? That would separate a procurement problem from a waste problem.

Interviewer · 1:24

Okay, a procurement-versus-waste question. I don't have bean cost per unit sold and pounds purchased per transaction. Without that split, here is a different check. You said the market explains about half of the per-unit bean increase and that the rest is client-specific. Walk me through how you got there: which figures did you combine, and are they all on the same footing?

Candidate · 1:33

Fair — let me be honest about the joins. I combined four things: COGS 42%'58% of revenue, revenue 100'115, beans at 25% of the old COGS base, and other inputs +37.5%. I backed into today's bean dollars as a residual, which means every error in the other numbers lands on beans.

They're not all on the same footing. The 37.5% on other inputs I treated as total spend, but it may well be a per-unit price figure — if so, my residual is wrong. The 40% market figure is clearly a per-unit commodity price, so to compare it to beans I had to deflate my 126% total growth by the 15% volume increase, which assumes bean volume grew exactly with revenue. If mix shifted toward food, or toward larger drinks, that breaks.

And "half" is loose: 1.96 versus 1.40 is a 40% residual multiplicatively, not 56 points of 96.

Can you tell me whether the 37.5% is total spend or per unit?

Interviewer · 1:37

Okay, you've named the weak joins yourself. I don't have whether the 37.5% on other inputs is total spend or per unit. Let's test this a different way. Take the cost structure exhibit. Read it and tell me what it shows, and whether it supports or undercuts your claim that beans are far above market.

Candidate · 1:43

I don't think an exhibit came through on my end — all I have are the figures you gave me verbally: COGS 58% vs 42%, labor 22% flat, overhead 14% vs 12%, beans at 25% of the old COGS base, other inputs +37.5%, and market beans +40%. If there's a table with more detail, I'm not seeing it.

Working from what I have, I'd say those numbers support the direction but don't prove the magnitude. What they clearly support: COGS is essentially the entire 18-point margin decline, and labor is not the story. What they don't settle is how much of the COGS increase is beans versus other inputs, because I got beans as a residual and the other-inputs figure is ambiguous on total-versus-per-unit.

If the 37.5% were per unit, other inputs grow with volume too and absorb more of the increase, which would shrink the unexplained bean gap — possibly a lot. So I'd hold "beans are above market" as a hypothesis, not a finding.

Interviewer · 1:45

Okay. Take a look at this: Brew & Bean Cost Structure Over Time. Take a look at it now. What does it show, and does it support or undercut your hypothesis about beans?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 1:53

Now I've got it. Each row sums to 100, so these are percent of revenue, and profit is the residual — 24, 15, 6.

What it shows: COGS rises 8 points a year, perfectly linear, 42 ' 50 ' 58. Labor is dead flat at 22. Overhead creeps 12 ' 13 ' 14. So the entire story is COGS, confirmed, and it's a steady grind rather than a shock.

On my hypothesis, I'd say it undercuts it somewhat. A supply-contract expiring or a supplier switch would show as a step change in one year. A smooth, even ramp looks more like commodity drift plus no price pass-through — beans up 40% over two years is itself fairly gradual. It's also consistent with a slow mix shift toward lower-margin food.

So I'd soften to: beans are the largest driver, but the client-specific premium is less certain than I claimed.

Was the 40% bean increase steady year over year, or front- or back-loaded?

Interviewer · 1:55

Okay, a year-by-year pattern question. I don't have year-by-year pattern of the bean price increase. Set that aside. You've read the exhibit and softened your hypothesis. In one or two sentences, what is the root cause of the profit decline, and how confident are you in it?

Candidate · 1:58

Root cause: COGS has risen 16 points of revenue — driven mainly by coffee bean and other input inflation — and Brew & Bean has absorbed all of it by holding menu prices flat for two years, so there's been zero pass-through.

Confidence: high on the mechanism — the exhibit is unambiguous that COGS is essentially the whole 18-point decline and labor is irrelevant. Moderate on the composition, because my bean-versus-other-inputs split rests on a residual and an ambiguous 37.5% figure.

Interviewer · 2:00

Okay. Beyond what we've discussed so far, what else could the client do to address this? Give me as many ideas as you can, across any part of the business.

Candidate · 2:08

Beyond pricing, a few buckets.

Procurement: renegotiate or consolidate bean contracts for volume discounts, hedge or lock forward prices, dual-source, extend contract length, and buy less premium grades where the customer won't notice.

Product and mix: reformulate — standardize grams per cup, audit over-pouring, cut brewed-coffee waste by brewing to demand. Push high-margin items: larger sizes, espresso-based drinks where the bean cost per dollar is lowest, and non-coffee items like tea, which has no bean exposure.

Pricing beyond a blanket increase: shrink portions at the same price, charge for add-ons like oat milk and syrups, regional pricing in higher-willingness-to-pay markets, and a loyalty program so increases land softer.

Overhead: it's only 2 points, but corporate headcount, marketing spend, and franchise-versus-company-owned structure are worth a look.

Revenue side: packaged beans at retail, wholesale to offices, catering, drive-thru or mobile ordering to lift throughput on the fixed labor base.

And close underperformers if any stores are below contribution.

Interviewer · 2:10

Okay, a broad set of ideas. The CEO now needs a decision. What do you recommend Brew & Bean does first, and what is the biggest risk to that recommendation?

Candidate · 2:17

Before I commit, one thing that would change the answer: do we have any read on price elasticity — how customers responded the last time they raised prices, or how Brew & Bean's prices compare to competitors in their markets? Whether they have headroom to pass costs through determines whether I lead with pricing or with procurement.

Interviewer · 2:19

Okay, a price elasticity and competitor price question. I don't have price elasticity and competitor price comparison. Work with what you have. What do you recommend the client does first, and what is the biggest risk to that recommendation?

Candidate · 2:26

I'll assume specialty coffee has some headroom, since the category is premium and competitors face the same input inflation.

Recommendation: raise menu prices first, roughly 8-10%, phased over two quarters. It's the fastest lever and the only one sized to the problem. Two years of flat prices against 40% bean inflation means they've absorbed the entire increase. On revenue of 115, a 9% increase with no volume loss adds about 10 points of margin — taking them from 6% toward mid-teens — and it requires no supplier renegotiation or operational change.

Run procurement in parallel as the structural fix: consolidate and lock forward bean contracts, and audit grams per cup for waste.

Biggest risk is exactly what I just asked about — elasticity. If traffic is price-sensitive, volume falls and we give back the gain. Mitigate by piloting in 20 stores across a few markets, measuring transaction counts, and leading with size and add-on pricing rather than a blanket increase.

Next steps: the pilot, a competitor price benchmark, and a bean spend diagnostic.

Interviewer · 2:29

Okay. You said a 9% increase with no volume loss adds about 10 points of margin. Suppose the pilot shows transactions falling after the increase. How much volume loss could the client absorb before the price move stops paying off?

Candidate · 2:39

Let me do the breakeven. Treat COGS as the variable cost — 58% of revenue — and labor and overhead as fixed in the near term, since labor's been flat at 22 regardless of the 15% volume growth.

Today on revenue 115: COGS is 67, so contribution is 48, a 42% contribution margin.

Now raise price 9% and lose $x\%$ of transactions. Revenue becomes $115 \times 1.09 \times (1 - x) = 125.4(1 - x)$. COGS falls with volume only, since price per cup doesn't change: $67(1 - x)$. Contribution = $58.4(1 - x)$. Set that equal to 48: $1 - x = 48/58.4 = 0.823$, so $x \approx 17.7\%$.

So they can lose roughly 17-18% of transactions before the price increase stops paying off. That's a wide cushion — meaningful comfort.

Caveat: labor won't stay fixed if volume drops 18%; they'd cut hours, which widens the cushion further. But brand damage and lost loyalty aren't in this math.

Interviewer · 2:40

That's our time. Thanks for working through this with me — your written report will follow.